

Advanced Management Accounting — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Advanced Level (CA34S3 — Compulsory Paper)

This is a free preview. It shows the unit overview and exam-paper layout used throughout the full document, plus the introduction section.

Unit overview

Unit description. This paper extends Intermediate-level management accounting into strategic territory — activity-based costing and strategic cost management, modern performance measurement frameworks, transfer pricing, and advanced decision-making techniques under uncertainty.

Prerequisite. A candidate attempting this paper is expected to have a secure grasp of Intermediate-level management accounting (cost classification, budgeting, standard costing and variance analysis).

Learning outcomes. A candidate who passes this paper should be able to apply activity-based costing, evaluate strategic cost-management techniques, design multi-dimensional performance measurement systems, evaluate transfer pricing methods, and apply decision trees and value-of-information analysis. *(Full learning outcomes list in the full version.)*

Contents (full paper)

1. Activity-based costing (ABC) — *included in this preview*
2. Target costing and life-cycle costing — full version only
3. The balanced scorecard and non-financial performance measures — full version only
4. Divisional performance measurement — ROI and residual income — full version only
5. Transfer pricing — full version only
6. Decision-making under uncertainty — decision trees — full version only
7. The value of information — full version only
8. Alternatives to traditional budgeting — full version only
9. Full worked question — ABC versus traditional overhead absorption — full version only
10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*

11. Marking guide — model answers to the practice examination — full version only
 12. Exam technique and revision checklist — full version only
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1. Activity-based costing (ABC)

Traditional absorption costing allocates overheads using a single volume-based basis, which can distort product costs when overheads are actually driven by non-volume activities (e.g. machine setups). ABC identifies distinct cost pools with genuine cost drivers, producing more accurate product costs.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA ADVANCED LEVEL — ADVANCED MANAGEMENT ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain why traditional volume-based overhead absorption can distort product costs. (8 marks)
- (b) Define "cost pool" and "cost driver" in the context of activity-based costing. (6 marks)
- (c) Outline ONE circumstance in which ABC is likely to produce materially different product costs from traditional absorption costing. (6 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes target costing and life-cycle costing, the balanced scorecard, ROI and residual income, transfer pricing, decision trees, the value of information, alternatives to traditional budgeting, a fully worked ABC question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.